

**However, this strategy has an unlimited risk.**

**Example:** Suppose you execute the following strategy:

| Particulars     | Strike Price | Price |
|-----------------|--------------|-------|
| Sell Nifty call | 25,000       | ₹50   |
| Sell Nifty put  | 25,000       | ₹80   |

The margin required is ₹2,50,000.

Let us calculate the risks and rewards.

**Premium received = ₹130**

**Break-even range = Strike price ± Premium received**  
**= 25,000 ± ₹130**  
**= 25,130 to 24,870**

Let us explore what happens in different scenarios.

| Particulars                          | Nifty at 25,000         | Nifty above 25,130      | Nifty below 24,870      |
|--------------------------------------|-------------------------|-------------------------|-------------------------|
| Outcome of selling Nifty 25,000 call | Premium of ₹50 captured | Unlimited loss          | Premium of ₹50 captured |
| Outcome of selling Nifty 25,000 put  | Premium of ₹80 captured | Premium of ₹80 captured | Unlimited loss          |
| Net outcome                          | Gain of ₹130            | Unlimited loss          | Unlimited loss          |